GHE as % of General Government Expenditure (GGE): This is a proportion of share of Government expenditures towards healthcare in the General Government Expenditures and indicates Government's priority towards healthcare.

Household Health Expenditure as % of THE: Household health expenditures constitute both direct expenditures (OOPE) and indirect expenditures (prepayments as health insurance contributions or premiums). This indicates the dependence of households on their own income/savings to meet healthcare expenditures.

Union and State Government Health Expenditure as % of GHE: The Union Government Health Expenditures includes the funds allocated by different Ministries and Departments of Union Government towards healthcare of general population and its employees (including funds allocated to local bodies). Similarly the State Government Health Expenditure includes the funds allocated by different Departments under all the State Governments towards healthcare of general population and its employees (including funds allocated to Local bodies and also the funds allocated for health by Local Bodies from their own resources). This indicates the share of the Union Government and State Governments in the Government Health Expenditure which is an important indicator in a federal structure of India.

AYUSH as % of THE: AYUSH stands for Ayurveda, Yoga, Naturopathy, Unani, Siddha, and Homeopathy. It includes all the expenditure on non-allopathic care that comprises a range of long-standing and still-evolving practices based on diverse beliefs and theories. This indicates the share of expenditures under AYUSH system of medicines in the total health expenditure.

Pharmaceutical Expenditures as % of CHE: This includes spending on prescription medicines during a health system contact and self-medication(often referred to as over-the-counter products) and the expenditure on pharmaceuticals as part of inpatient and outpatient care from prescribing physicians. This indicates the share of pharmaceuticals expenditures in the Current Health Expenditure.

Table 1 *presents key indicators for India from NHA estimates 2015-16 with the last three NHA rounds. It is important to note that only select indicators that are comparable across the three rounds of NHA are presented here. NHA estimates 2004-05 are based on System of Health Accounts 1.0 (SHA 1.0) framework which differ in the definitions, classification codes and boundaries of health expenditures in comparison with NHA estimates 2013-14, 2014-15 and 2015-16 that are based on SHA 2011 framework.*

Table 1: Key health financing indicators for India across NHA rounds

Sl. No.	Indicator	NHA 2015-16	NHA 2014-15	NHA 2013-14	NHA 2004-05
1	Total Health Expenditure (THE) as percent of GDP	3.8	3.9	4	4.2
2	Total Health Expenditure (THE) Per capita (Rs.)*	4116	3826	3638	1201
3	Current Health Expenditures (CHE) as percent of THE	93.7	93.4	93	98.9
4	Government Health Expenditure (GHE) percent of THE	30.6	29	28.6	22.5
5	Out of Pocket Expenditures (OOPE) as percent of THE	60.6	62.6	64.2	69.4
6	Social Security Expenditure on health as percent of THE	6.3	5.7	6	4.2
7	Private Health Insurance Expenditures as percent of THE	4.2	3.7	3.4	1.6
8	External/ Donor Funding for health as per cent of THE	0.7	0.7	0.3	2.3

*At current prices

Table 2 presents key health financing indicators for India for NHA estimates 2015-16.

Table 2: Key health financing indicators for India: NHA Estimates 2015-16

Sl.No.	Indicator	NHA 2015-16
1	Total Health Expenditure (THE) as % GDP*	3.84
2	THE per capita (Rs.)**	4116
3	Current Health Expenditure (CHE) as % of THE	93.7
4	Capital Health Expenditure as % of THE	6.3
5	Government Health Expenditures (GHE) as % of THE	30.63
6	GHE as % of GDP	1.18
7	GHE as % of General Government Expenditure (GGE)***	4.07
8	Per capita Government Health Expenditure (Rs.)	1261
9	Current Government Health Expenditure (CGHE) as % of GHE	79.47
10	Union Government Health Expenditure as % of GHE	35.62
11	StateGovernment Health Expenditure as % of GHE	64.38
12	Government based Voluntary Health Insurance as % of GHE	3.13
13	Household Health Expenditure (incl. insurance contributions) as % of THE	64.76
14	OOPE as % of THE	60.59
15	OOPE as % of GDP	2.33
16	Per capita OOPE (Rs.)	2494
17	External/ Donor Funding as % of THE	0.7
18	AYUSH as % of THE****	11.9
19	Pharmaceutical expenditures as % of CHE	35.4

* GDP value for FY 2015-16 (Rs. 1,37,64,037 crores) from Statement 2: Second Advance Estimates of National Income, 2017-18 and Quarterly Estimates of Gross Domestic Product for the Third Quarter (Oct-Dec), 2017-18; Press Information Bureau, Government of India Ministry of Statistics & Programme Implementation; 28-February-2018

** The population for 2015-16 is projected by National Health Systems Resource Centre using census population estimates-2011 published by Office of the Registrar General & Census Commissioner, India.

*** GGE value for FY 2015-16 (Rs. 39,74,103 crores) Table 114 : Receipts and Disbursements of Central and State Governments, Page no. 180, Handbook of Statistics on Indian Economy, 2017, Reserve Bank of India

**** The corresponding figure for Estimate on AYUSH in NHA 2014-15 has a typographical error. The correct figure is 10.8%.

Table 3: Current Health Expenditures (2015-16) by Healthcare Financing Schemes

NHA Code	Financing schemes	Rs. Crores	0%
HF.1.1.1.1	Union Government (Non-Employee)	33730	6.81
HF.1.1.1.2	Union Government (Employee)*	9134	1.84
HF.1.1.2.1.1	State Government (Non-Employee)**	52259	10.6
HF.1.1.2.1.2	State Government (Employee)	3101	0.6
HF.1.1.2.2.1	Urban Local Bodies	6045	1.2
HF.1.1.2.2.2	Rural Local Bodies	2662	0.54
HF.1.2.1	Social health insurance schemes (not incl. 1.2.1.4)***	15741	3.2
HF.1.2.1.4	Government Financed Health Insurance****	5064	1.0
HF.2.1.1.1	Employer-Based Insurance (Private Group Health Insurance)	11621	2.3
HF.2.1.1.3	Other Primary Coverage Schemes (Private Individual Health insurance)	10353	2.1
HF.2.1.2.1	Community-Based Insurance	39	0.01
HF.2.2.1	Non Profit Institutions Serving Households (NPISH)	9196	1.9
HF.2.2.2	Resident Foreign Agencies Schemes	1488	0.3
HF.2.3.1.2	Enterprises	14544	2.9
HF.3.3	All Household Out-Of-Pocket Payment	320211	64.7
	Total	**495190**	**100**

HF.1. Government Schemes and Compulsory Contributory Healthcare Financing Schemes

All expenditures through the Government (Union, State & Local Governments) and Social Health Insurance agencies for providing healthcare services to general population as well as to Government employees are classified under this broad category which is divided into two sub categories HF.1.1 Government Schemes and HF.1.2 Compulsory Contributory Insurance Schemes.

Government Schemes are further divided into HF.1.1.1 Union Government schemes and HF.1.1.2 State/regional/local Government schemes (further divided into HF.1.1.2.1 State Government Schemes and HF.1.1.2.2 Local Government Schemes). HF.1.2.1 Social Health Insurance Schemes falls under HF.1.2 Compulsory Contributory Insurance Scheme. Brief descriptions of all lowest level classification categories under these are given below:

HF.1.1.1.1 Union Government Schemes (Non-Employee)

Expenditure through Ministry of Health and Family Welfare, other Union Ministries & Departments for providing healthcare services to general population are classified here. Includes expenditures under National Health Mission, National Family Welfare Programmes, National AIDS Control Program, IEC programmes, partnership with NGOs, etc. It also includes expenditures through other Union Ministries and Departments under the Labour Welfare Scheme, Maulana Azad Medical Aid Scheme, National Institute of Sports Science and Sports Medicine, etc. (Refer NHA Guidelines for India, 2016 for details).

* Current expenditures on Defence Medical Services (Rs.6405 Crores), Railway Health Services (Rs. 2213 Crores) and the rest is any reimbursements made by Union Government Departments through CSMA.

** Incl. expenditures on employees through Medical allowance/reimbursements by State Government Departments

*** Incl. Central Government Health Scheme (CGHS), Ex-servicemen Contributory Health Scheme (ECHS) and Employee State Insurance Scheme (ESIS)

**** Incl. expenditures on Rashtriya Swasthya Bima Yojana and State specific health insurance schemes

Table 4: Current Health Expenditures (2015-16) by Revenues of Healthcare Financing Schemes***

NHA Code	Revenues of Financing Schemes	Rs. Crores	0%
FS.1.1.1	Internal transfers and grants - Union Government	38416	7.76
FS.1.1.2	Internal transfers and grants - State Government	75785	15.30
FS.1.1.3.1	Urban Local Bodies	3779	0.76
FS.1.1.3.2	Rural Local Bodies	29	0.01
FS.2.1	Transfers Distributed by Union Government from foreign origin	1276	0.26
FS.2.2	Transfers distributed by State Government from foreign origin	397	0.08
FS.3.1	Social Insurance Contributions from Employees	2670	0.54
FS.3.2	Social Insurance Contributions from Employers	6020	1.22
FS.3.4	Other Social Insurance Contributions	268	0.05
FS.5.1	Voluntary Prepayment from Individuals/ Households	19108	3.86
FS.5.2	Voluntary Prepayment from Employers	2905	0.59
FS.6.1	Other Revenues from Households n.e.c	320211	64.66
FS.6.2	Other Revenues from Corporations n.e.c.	14766	2.98
FS.6.3	Other Revenues from NPISH n.e.c.	7708	1.56
FS.7.1.4	All Direct Foreign Financial Transfers	1851	0.37
	Total	**495190**	**100**

FS.1 Transfers and Grants from Government Domestic Revenue (allocated to health purposes)

These are funds allocated from Government domestic revenues (raised at different levels of the Government) for health purposes. The sub category FS.1.1 Internal Transfers and Grants is further divided into three broad categories based on the level of Government: FS.1.1.1 Internal Transfers and Grants - Union Government, FS.1.1.2 Internal Transfers and Grants - State Government and FS.1.1.3 Internal Transfers and Grants - Local Government (further divided into FS.1.1.3.1 Urban Local Bodies and FS.1.1.3.2 Rural Local Bodies).

FS.2 Transfers distributed by Government from foreign origin

Transfers originating abroad (bilateral, multilateral or other types of foreign funding) that are distributed through the general Government are classified under this. According to the level of Government receiving these, it is categorised into FS.2.1 Transfers Distributed by Union Government from foreign origin and FS.2.2 Transfers Distributed by State Government from foreign origin.

FS.3 Social Insurance Contributions

Social Health Insurance contributions are regular compulsory payments from employers or from employees that mandate entitlement to social health insurance benefits. Sub-categories of social insurance contributions are FS.3.1 Social Insurance Contributions from Employees and FS.3.2 Social Insurance Contributions from Employers and FS.3.4 Other Social Health Insurance Contributions. It is important to note that Government contributions towards any type of employee/ specific population groups are excluded here and are accounted under Government internal transfers). For example, under the Employee State Insurance Scheme only the contributions by employees and employers are

*** To compare with 2013-14 and 2014-15 estimates the aggregate value for Household Revenues for Financing Healthcare (FS.3.1+ FS3.4+ FS 5.1+ FS 6.1) in 2015-16 is Rs.342257 crore and it occupies 69% of CHE.

expenditures by providers of healthcare, followed by the description of all healthcare providers relevant in Indian context. Detailed description of these schemes is provided in the National Health Accounts Guidelines for India, 2016.

Table 5: Current Health Expenditures (2015-16) by Healthcare Providers

NHA Code	Healthcare Providers	Rs. Crores	0%
HP.1.1.1	General Hospitals - Government	64585	13.0
HP.1.1.2	General Hospitals - Private	128011	25.9
HP.1.2.1	Mental Health Hospitals - Government	1046	0.2
HP.1.3.1	Specialized Hospitals - Government	5323	1.1
HP.1.3.2	Specialized Hospitals - Private	579	0.1
HP.3.1.1	Offices of General Medical Practitioners (Private clinics)	24488	4.9
HP.3.1.3	Offices of Medical Specialists (Private Specialityclinics)	2	0
HP.3.3	Other Healthcare Practitioners*** - Government	4196	0.8
HP.3.4.1	Family Planning Centres- Government	3505	0.7
HP.3.4.9	All Other ambulatory centres**** - Government	30943	6.2
HP.4.1	Providers of Patient Transportation and Emergency Rescue	21604	4.4
HP.4.2	Medical and Diagnostic Laboratories	22715	4.6
HP.5.1	Pharmacies	138061	27.9
HP.5.2	Retail sellers and Other suppliers of durable medical goods and medical appliances	792	0.2
HP.6	Providers of Preventive care	25048	5.1
HP.7.1	Government Health Administration Agencies	12074	2.4
HP.7.2	Social Health Insurance Agencies	1662	0.3
HP.7.3	Private Health Insurance Administration Agencies	773	0.2
HP.7.9	Other Administration Agencies	974	0.2
HP.10	Other Health Care Providers not elsewhere classified (n.e.c)	8809	1.8
	Total	**495190**	**100**

*** Expenditures on Sub Centers/ANM , ASHA, Anganwadi Centers etc
**** Expenditures on Primary Health Centers and Dispensaries incl. of AYUSH, CGHS, ESIS, and Railway Polyclinics etc.

Table 6: Current Health Expenditures(2015-16) by Healthcare Functions

NHA Codes	Healthcare Functions	Rs. Crores	0%
HC.1.1.1	General inpatient curative care	106941	21.60
HC.1.1.2	Specialized inpatient curative care	63465	12.83
HC.1.3.1	General outpatient curative care	64391	13.00
HC.1.3.2	Dental outpatient curative care	369	0.07
HC.1.3.3	Specialized outpatient curative care	20990	4.24
HC.2	All rehabilitative care	216	0.04
HC.3	All long-term care	20	0.01
HC.4.3	Patient transportation	21604	4.36
HC.4.4	Laboratory and Imaging services	21315	4.30
HC.5.1.1	Prescribed medicines	136364	27.54
HC.5.1.2	Over-the-counter medicines	1697	0.34
HC.5.2.4	All Therapeutic appliances and Other medical goods	792	0.16
HC.6.1	Information, education and counselling (IEC) programmes	3824	0.77
HC.6.2	Immunization programmes	4317	0.87
HC.6.3	Early disease detection programmes	727	0.15
HC.6.4	Healthy condition monitoring programmes	13832	2.79
HC.6.5	Epidemiological surveillance, risk and disease control programmes	11239	2.27
HC.6.6	Preparing for disaster and emergency response programmes	94	0.02
HC.7.1	Governance and Health system administration	12646	2.55
HC.7.2	Administration of health financing	2837	0.57
HC.9	Other health care services not elsewhere classified	7508	1.52
	Total	**495190**	**100**
HC.RI.1	Total Pharmaceuticals Expenditure (TPE)	175534	35.4
HC.RI.2	Traditional, Complementary and Alternative Medicines (TCAM)****	58868	11.9

HC.1 Curative Care

Curative care comprises healthcare contacts during which the principal intent is to relieve symptoms of illness or injury, to reduce the severity of an illness or injury, or to protect against exacerbation and/or complication of an illness and/or injury that could threaten life or normal body function. Based on the mode of provision, curative care is divided into inpatient and outpatient curative care. In all cases the main purpose of curative care remains the same, but the technology and place of provision change: in the case of an overnight stay in a health care facility the mode of provision is inpatient. When a patient is admitted for planned care or treatment involving specific organizational arrangements but does not involve an overnight stay then this is day care, otherwise it is an outpatient contact. The sub categories under this are HC.1.1.1 General Inpatient curative care, HC.1.1.2 Specialized Inpatient curative care, HC.1.3.1 General Outpatient curative care, HC.1.3.2 Dental Outpatient curative care and HC.1.3.3 Specialized Outpatient curative care.

****Note – The corresponding figure for Estimate on TCAM in NHA 2014-15 has a typographical error. The correct figure is 52,349 crores.

HC.2 All rehabilitative care

Expenditure incurred on providing/ availing rehabilitative care is aimed at reaching, restoring and/or maintaining optimal physical, sensory, intellectual, psychological and social functional levels, for e.g. Physiotherapy, Occupational Therapy, Speech Therapy, etc.

HC.3 All long-term care

Expenditure incurred on palliative care (mainly found from the budget documents of a few states) is classified here.

HC.4 Ancillary Services (non-specified by function)

Ancillary services are frequently an integral part of a package of services whose purpose is related to diagnosis and monitoring. Ancillary services do not, therefore, have a purpose in themselves. Therefore, only a part of the total consumption of ancillary services is made explicit by reporting the consumption of such services in the "non-specified by function" category, such as when the patient consumes the service directly, in particular during an independent contact with the health system. Ancillary services related to patient transportation and emergency rescue is HC.4.3 (i.e. ambulance service) provided by both Government and private sector. HC.4.4 Laboratory and imaging services is reported collectively and refers to those that are not a part of the treatment package and services that are availed from stand-alone diagnostic centres and laboratories.

HC.5.1 Pharmaceuticals and other non-durable goods

This is categorized under HC.5 Medical Goods (non-specified by function) and includes all consumption of medical goods where the function and mode of provision is not specified, i.e. medical goods acquired by the beneficiary either as a result of prescription following a health system contact or as a result of self-prescription. This excludes medical goods consumed or delivered during a health care contact that are prescribed by a health professional. This class is further divided into the following sub-classes: HC.5.1.1 prescribed medicines comprises all pharmaceuticals, including branded and generic pharmaceutical products, which are provided in response to a prescription issued by a licensed medical practitioner or pharmacist. HC.5.1.2 Over-the-counter drugs (OTC): comprises all pharmaceuticals, including branded and generic pharmaceutical products which may or may not be available without prescription but have been purchased independently. Inclusions on this category should be linked to the health purpose.

Important: Adhering to the descriptions of HC.4.4 and HC.5.1 given above for purposes of National Health Accounts for India, only diagnostic services and medicines as part of an outpatient contact or over the counter are categorized under HC.4.4 and HC.5.1 respectively. Medicines and diagnostic services provided as part of inpatient care are classified as part of Inpatient Curative Care HC.1.1 and respective provider classification under HP.1. Because in the Indian context, majority of health expenditures are out of pocket expenditures (OOPE) and this data on OOPE is sourced from the Health and Morbidity Survey conducted by National Sample Survey Office (NSSO). The NSSO survey reports expenditures on healthcare in a disaggregate manner on consultation/ service fees, drugs, diagnostics, patient transportation and others according to the facility where treatment was undertaken for both hospitalization and non-hospitalization contact separately. However it is not clear from the survey if the expenditures reported for diagnostic services and medicines especially during a hospitalization episode were delivered/consumed as part of the treatment package or purchased/acquired from pharmacy or diagnostic center within the same facility/establishment or outside the establishment from retail pharmacies or standalone diagnostic centers. Thus the expenditures related to these are assumed to be delivered/ consumed with directions of the health professional and provided by the health facility as part of the treatment package allowing them to be classified part of inpatient care provided and the respective provider.

Key Health Financing Indicators for select States

Table A.6: Key Health Financing Indicators for select States: NHA Estimates 2015-16

No.	State	Total Health Expenditure (THE)			Government Health Expenditure (GHE)					Out of Pocket Expenditure (OOPE)				Denominator Values (in crores)		
		In Rs. Crore	Per Capita in Rs.	%GSDP	In Rs. Crore	Per Capita In Rs.	% THE	% GSDP	% GGE	In Rs. Crore	Per capita in Rs.	% GSDP	% THE	Population	Gross State Domestic Product (GSDP)	General Government Expenditure
1	Assam	7874	2386	4.0	2992	907	38.0	1.5	7.5	4339	1315	2.2	55.1	3.3	195723	39702
2	Andhra Pradesh	26133	4148	4.3	5814	923	22.2	1.0	5.3	19512	3097	3.2	74.7	6.3	609934	110121
3	Bihar	24901	2223	6.5	4756	425	19.1	1.2	4.4	19890	1776	5.2	79.9	11.2	381501	107582
4	Chhattisgarh	9112	3375	3.5	2871	1063	31.5	1.1	5.6	5322	1971	2.0	58.4	2.7	260776	51646
5	Gujarat	20990	3332	2.0	7808	1239	37.2	0.8	6.5	10589	1681	1.0	50.4	6.3	1025188	119948
6	Haryana	11015	4080	2.3	3033	1123	27.5	0.6	4.6	6552	2427	1.4	59.5	2.7	485184	66144
7	Himachal Pradesh	3448	4926	3.1	1621	2316	47.0	1.4	6.4	1706	2437	1.5	49.5	0.7	112852	25167
8	Jammu and Kashmir	4960	3815	4.2	1993	1533	40.2	1.7	4.6	2780	2138	2.3	56.0	1.3	119093	43751
9	Jharkhand	7889	2254	3.4	2339	668	29.6	1.0	5.2	5228	1494	2.3	66.3	3.5	231294	44711
10	Karnataka	32083	4936	3.2	8227	1266	25.6	0.8	6.0	15908	2447	1.6	49.6	6.5	1012804	137742
11	Kerala	25090	7169	4.5	5694	1627	22.7	1.0	6.6	17889	5111	3.2	71.3	3.5	557947	86190
12	Madhya Pradesh	20373	2681	3.8	5662	745	27.8	1.1	4.9	14283	1879	2.7	70.1	7.6	530443	116606
13	Maharashtra	56806	4734	2.8	13443	1120	23.7	0.7	6.3	33459	2788	1.7	58.9	12	2001223	213167
14	Odisha	16579	3768	5.0	3354	762	20.2	1.0	4.4	11849	2693	3.6	71.5	4.4	330874	75896
15	Punjab	16234	5598	4.1	3245	1119	20.0	0.8	6.1	12563	4332	3.2	77.4	2.9	391543	53133
16	Rajasthan	23869	3226	3.5	7980	1078	33.4	1.2	6.2	13455	1818	2.0	56.4	7.4	683758	128225
17	Tamil Nadu	32975	4339	2.8	9378	1234	28.4	0.8	5.9	21500	2829	1.9	65.2	7.6	1161963	159988
18	Uttar Pradesh	69036	3226	6.2	14283	667	20.7	1.3	5.2	52841	2469	4.7	76.5	21.4	1119862	277159
19	Uttarakhand	4299	3908	2.4	1607	1461	37.4	0.9	5.9	2630	2391	1.5	61.2	1.1	175772	27304
20	Telangana	13710	5273	2.4	5148	1980	37.5	0.9	5.8	7941	3054	1.4	57.9	2.6	567588	89486

All values in this table are rounded off.

Gross Domestic State Product (GSDP): GSDP at current prices is sourced from Directorate of Economics & Statistics of respective State Governments, and for All-India -- Central Statistics Office which presents estimates with base year 2011-12. **General Government Expenditure (GGE)**: State wise GGE is sourced from RBI State Finances: a Study of budgets (2018); appendix II: revenue expenditure of States and union Territories with legislature and appendix IV: Capital expenditure of States and union Territories with legislature accessed on 4.08.2018.

Total Health Expenditure (THE) of a state/ UT includes health expenditure by all government agencies (Union/State/Local Bodies including quasi-governmental organizations and donors in case funds are channelled through government organizations), all household health expenditures, all expenditures by Enterprises, Not for Profit Institutions Serving Households (NPISH/NGO) and external donors.

For a particular State, **Per capita value for THE** is arrived by dividing total health expenditure by the population for respective state, **Per capita value for GHE** is arrived by dividing total government health expenditure by the population for respective state and **Per capita value for OOPE** is arrived by dividing total OOPE by the population for respective state.